network is improving, thereby reducing the chance of food supply shocks undermining the achievement of the inflation target. With the softening of oil prices, the probability of supply shocks from oil has also become low.

Also, contrary to my initial apprehension, the Reserve Bank's inflation-targeting framework builds in significant flexibility. Importantly, the monetary policy framework agreement between the government and the Reserve Bank acknowledges that the objective of the monetary policy is to maintain price stability 'while keeping in mind the objectives of growth', thus discouraging the Reserve Bank from adopting a rigid approach to achieving the inflation target. The statement on the Reserve Bank's website 'that the relative emphasis assigned to price stability and growth objectives in the conduct of monetary policy varies from time to time depending on the evolving macroeconomic environment' reiterates the flexible inflation-targeting approach. Moreover, the wide tolerance band of ±2 per cent around the inflation target of 4 per cent reinforces this flexibility.

In the event of failure to meet the inflation target, the framework agreement enjoins the governor to report to the government the reasons for failure, as also the remedial action being taken to return inflation to the target range. This provision is comforting as it acknowledges the possibility that the target could be missed under extenuating circumstances, thus minimizing the probability of the Reserve Bank pursing the inflation target 'at any cost'.

Going forward, the success of the Reserve Bank's inflation-targeting approach will depend on two factors: first, how intelligently the flexibility of the framework will be used, and second, the autonomy the government will allow the bank in pursuing the target. Let me comment on both of these.

Global experience shows that an inflation-targeting framework is neither necessary nor sufficient to maintain price stability. Just to cite one example, the US Federal Reserve had adopted, as recently as 2011, a numerical target for its inflation objective but as stated on its website, the Federal Reserve 'is firmly committed to fulfilling its statutory mandate from the Congress of promoting maximum employment, stable prices and moderate long-term